

Practice Quiz: Strategic Modeling — Module 08:

Planning

Name: ____ Date: ____

Part A: Multiple Choice

1. **Scenario planning** differs from forecasting by: A) Being less rigorous B) Evaluating strategy across multiple possible futures rather than predicting a single one C) Using scenarios from movies D) Being creative
 2. A **real option** is: A) A stock option B) The right but not obligation to take a strategic action in the future, valued because it preserves flexibility C) A real estate investment D) A mandatory decision
 3. A **resilient strategy** is one that: A) Never changes B) Performs adequately across a wide range of possible futures, even if not optimal in any single one C) Is the cheapest D) Has the highest expected return
 4. **Signpost monitoring** involves: A) Watching road signs B) Tracking observable indicators that reveal which scenario is unfolding, triggering strategic adjustments C) Traffic analysis D) Brand monitoring
 5. Intel's EUV lithography investment was a real option because: A) It was expensive B) It preserved the capability to match competitors when the technology matured, without requiring commitment to production C) It was required by regulation D) All investments are options
 6. **Existential risks** differ from operational risks by: A) Being more dramatic B) Threatening the viability of the organization's entire competitive model, requiring strategic transformation C) Being impossible D) Being insurable
 7. A concentrated strategic bet is preferable to a diversified portfolio when: A) Always B) The organization has very high conviction in one scenario and the stakes of being fragmented outweigh the risk of being wrong C) Budgets are small D) Competition is weak
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Part B: Short Analysis

1. Construct 3 scenarios for the future of your industry (5-year horizon). For each, specify: key drivers, narrative, and probability. Then evaluate your current strategy under each scenario.
2. Identify three real options your organization currently holds. For each: what is the option? What does it cost to maintain? Under what conditions should it be exercised?
3. Your organization's strategy is optimized for one expected future. Design a "stress test" that evaluates how the strategy performs under 5 different adverse conditions. What changes would make the strategy more resilient?